banks, restaurants, hotels, American Express cardholders, and delivered to Buffett a foot-high pile of material.[17] Buffett also visited several restaurants in Omaha, and saw that they continued to accept the card. Buffet's assessment of the scuttlebutt was that American Express was temporarily reeling from the effects of a fiscal blow that would not destroy its exceptional underlying economics. It was an "extraordinary business franchise with a localized excisable cancer," and it would survive.[18] Buffett put about 40 percent of the partnerships' capital into the stock. It was the largest investment the partnerships had ever made, and gave Buffett control of more than 5 percent of American Express's stock at a cost of $13 million. American Express settled with the lenders in 1965 for $60 million, and the stock, which had plunged below $35, quickly popped to $49 per share.[19]

American Express was a substantial departure from Graham's purely quantitative method. Where Graham had explicitly warned against considering the nature of the business, Buffett was including it in his assessment. But Buffett hadn't abandoned Graham completely. Two cigar butts—Texas Gulf Producing and Pure Oil—made up another third of the portfolio. The theses for these two were both simply Grahamite statistical undervaluation. Buffett said that the quantitative approach remained his "bread-and-butter,"[20] but he acknowledged it had its limitations. By 1966 such quantitative bargains were few and far between, and when they could be found, they tended to be very small. Like his capital, Buffett was starting to outgrow Graham. His investment in American Express had uncovered another limitation to Graham's purely statistical strategy. American Express's value was not to be found on its balance sheet, but in its business. It was very definitely worth more alive than dead, possessing little in the way of hard assets that could be liquidated, but a great deal of value in the consumer franchise. Buffett saw that the consumer franchise had an advantage over the cigar butt: The consumer franchise would continue to compound, while the cigar butt possessed but a single puff. For this reason, the consumer franchise presented a better investment, but it didn't meet Graham's strict guidelines. By 1967 Buffett had resolved the issue sufficiently in his own mind to discuss it in his partnership letter:[21]

> *The evaluation of securities and businesses for investment purposes has always involved a mixture of qualitative and quantitative factors. At the one extreme, the analyst exclusively oriented to qualitative factors would say, "Buy the right company (with the right prospects, inherent industry conditions, management, etc.) and the price will take care of itself." On the other hand, the quantitative spokesman would say, "Buy at the right price and the company (and stock) will take care of itself."*